

Before the
FEDERAL MARITIME COMMISSION
Washington, DC 20573
Docket No. 22-20
MSRF Inc. v. HMM Company Limited



VERIFIED COMPLAINT

I. INTRODUCTION

1. Complainant MSRF, Inc. (“MSRF”), by its undersigned counsel, brings this Verified Complaint against Respondent HMM Company Limited (“HMM”), pursuant to 46 U.S.C. Section 41301 to seek reparations for injuries to MSRF caused by Respondent’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”), alleged herein.
2. Since the beginning of the COVID-19 pandemic, global ocean carriers, including Respondent named herein, have, as alleged herein, and upon information and belief, unjustly and unreasonably exploited customers, vastly increasing their profitability at the expense of shippers and the U.S. public generally, which bears increased freight cost in the form of inflation.
3. Upon information and belief, the bulk of ocean carriage secured by shippers has traditionally been pursuant to written service contracts, negotiated in advance at reasonable rates. Although a “spot market” for ocean carriage also exists, historically it has been used, upon information and belief, primarily by smaller shippers making small and/or one-time shipments, or for unexpected needs, such as a one-time or seasonal increase in shipping needs for a larger shipper.

4. Even with currently reviving demand, however, global ocean carriers have not returned to the just and reasonable pricing and contracting practices of pre-pandemic times. Instead, they have continued policies and practices that manipulate prices and deliver unprecedented windfall profits to them by forcing shippers into an artificially inflated spot market. A container that in 2019 might have cost approximately \$2,700 to ship from China to the West Coast of the United States now might cost \$25,000 or more on the spot market.
5. MSRF has experienced this misconduct by global ocean carriers firsthand. Respondent agreed to a service contract with MSRF and then refused to provide more than a fraction of the cargo capacity that MSRF requested and needed, even though Respondent overall has continued to operate at or near pre-pandemic capacity.
6. To make matters worse, Respondent then proceeded to engage in a practice of refusing to perform its full commitment under the service contract, instead forcing MSRF to buy space on the inflated spot market.
7. MSRF's written service contract with Respondent included minimum quantity commitments ("MQC") by MSRF to Respondent to tender cargo from various points in Asia for Respondent to transport via ocean vessels to the United States at agreed intervals and for agreed prices.
8. By definition, the service contract required Respondent to "commit[] to a certain rate or rate schedule and a defined service level, such as assured space, transit time, port rotation, or similar service features."¹

¹ 46 U.S.C. 40102(21) and 46 C.F.R. § 530.3(q). *See also* 46 U.S.C. § 40502(c)(7) and 46 C.F.R. 530.8(b)(5) which require service contracts to include service commitments as essential terms.

9. Shortly after entering into the service contract with MSRF, Respondent began breaching its contractual service commitments by providing MSRF with hardly any of the agreed allotments of space on their respective ocean vessels, and instead forcing MSRF to make alternate transportation arrangements at substantially higher spot market prices.
10. In so doing, Respondent has unjustly and unreasonably disrupted the previously stable and well-established structure of the global ocean freight industry. Now, instead of securing reliable service contracts in advance, MSRF is forced to (1) agree in advance to exorbitant rates for whatever portion of its needed capacity global ocean carriers are willing to cover with service contracts, (2) make up the difference on the spot market, and then (3) rush to the spot market again each time Respondent refuses to honor its limited service commitments.
11. In the May–December 2021 period, Respondent breached its contractual service commitment, providing MSRF only 9 of 25 containers agreed in the service contract.

II. THE COMPLAINANT

12. Complainant MSRF is a corporation organized under the laws of the State of Delaware with its principal place of business located at 9815 Leland Avenue, Schiller Park, Illinois 60176. MSRF is a “shipper” under its Service Contracts with Respondent pursuant to 46 U.S.C. 40102(23). MSRF was founded in 1995 as a manufacturer and importer of gourmet foods and food gifts. The company’s seasonal and holiday products are sold in big box retailers throughout the U.S. MSRF also sells products licensed by Starbucks, Jim Beam and other prominent brands.

III. THE RESPONDENT

13. Upon information and belief, Respondent HMM is a company organized under the laws of the Republic of Korea. HMM is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. § 40102(18) with organization number 001452. HMM's North American agent is located at 222 West Las Colinas Boulevard, Suite 700, Irving, TX 75039.

IV. JURISDICTION AND LEGAL AUTHORITY

14. The Federal Maritime Commission ("FMC") has jurisdiction over this Verified Complaint pursuant to 26 U.S.C. §§ 41301 through 41309.
15. The FMC has personal jurisdiction over Respondent as an ocean common carrier, as that term is defined by 46 U.S.C. Section 40102(18), that has entered into service contracts, as that term is defined by 46 U.S.C. Section 40102(21), with MSRF.
16. Respondent's actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of MSRF, in violation of 46 U.S.C. Section 41102(c).
17. Respondent's actions alleged herein constitute the provision of service in the liner trade that is not in accordance with the rules and practices contained in its service contract with MSRF, in violation of 46 U.S.C. Section 41104(a)(2).
18. Respondent's actions, done in connection with its provision of service pursuant to its Service Contracts with MSRF, constitutes unfair and unduly discriminatory practices against MSRF in the matter of rates or charges with respect to the ports for which MSRF contracted with Respondent, in violation of 46 U.S.C. Section 41104(a)(5).

19. Respondent's actions with respect to its Service Contracts also have given undue and unreasonable preference and advantage to shippers other than MSRF and imposed undue and unreasonable prejudice and disadvantage on MSRF with respect to the ports for which MSRF contracted with Respondent, in violation of 46 U.S.C. Section 41104(a)(9).
20. Respondent's actions in the course of negotiating its Service Contracts with MSRF and providing service to MSRF pursuant to those Service Contracts constitutes unreasonable refusals to deal or negotiate with MSRF, in violation of 46 U.S.C. Section 41104(a)(10).

V. ALLEGED FACTS

21. Prior to last year, MSRF, like most significant shippers, was able to secure advance service contracts to cover the bulk of its ocean carriage needs at reasonable, pre-negotiated prices.
22. In negotiations for the 2021-2022 shipping year, Respondent refused to provide MSRF enough commitments in its advance service contracts, instead providing only a fraction of the space MSRF needed at substantially higher prices, which MSRF accepted in order to secure such space, believing that such higher prices would fully compensate Respondent for current market disruptions.
23. Respondent then proceeded to breach its limited commitments by refusing to honor its service contract, forcing MSRF to purchase services on the spot market for which it had already contracted with Respondent.
24. MSRF and Respondent entered into a written service contract (SC US2124083) as that term is defined by 46 U.S.C. Section 40102(21) effective as of May 1, 2021.
25. MSRF and Respondent agreed in the service contract that MSRF would tender a minimum quantity of twenty-five (25) forty-foot equivalent units (FEUs) of cargo for shipment by

MSRF via ocean vessels from ports in Asia to the United States, and from ports in the United States to Asia at agreed prices.

26. Despite Respondent's contractual commitment to ship the minimum quantity tendered by MSRF, Respondent has continuously refused to provide MSRF more than approximately 9 of the promised 25 FEUs of that allotted space, forcing MSRF to make alternate transportation arrangements with other common carriers at substantially higher spot market prices or forgo shipping its cargo altogether.
27. Upon information and belief, Respondent is capitalizing on its violations of the Shipping Act alleged herein, by re-selling the capacity allotted to MSRF under the service contract to other shippers on the same spot market at substantially higher rates than those to which it agreed in the service contract.

VI. CAUSES OF ACTION

COUNT I: VIOLATION OF 46 U.S.C. § 41102(c)

28. Complainant repeats and realleges the allegations above as if fully set forth herein.
29. The foregoing continuous, ongoing conduct by Respondent in connection with its respective receipt, handling, storage, and delivery of the property of MSRF constitutes a failure by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of MSRF and other shippers, in violation of 46 U.S.C. Section 41102(c).

COUNT II: VIOLATION OF 46 U.S.C. § 41104(a)(2)

48. Complainant repeats and realleges the allegations above as if fully set forth herein.
49. The foregoing conduct by Respondent constitutes provision of service in the liner trade that is not in accordance with the rules and practices contained in its respective service

contract with MSRF, to which no exception or exemption applies and which has not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2).

COUNT III: VIOLATION OF 46 U.S.C. § 41104(a)(5)

50. Complainant repeats and realleges the allegations above as if fully set forth herein.
51. The foregoing conduct by Respondent in the course of providing service to MSRF pursuant to its respective service contract with MSRF, which is continuous and ongoing, constitutes an unfair and unjustly discriminatory practice against MSRF in the matter of rates or charges with respect to the ports identified in each respective service contract, in violation of 46 U.S.C. Section 41104(a)(5).

COUNT IV: VIOLATION OF 46 U.S.C. § 41104(a)(9)

52. Complainant repeats and realleges the allegations above as if fully set forth herein.
53. The foregoing conduct by Respondent in the course of providing service to MSRF pursuant to its respective service contract with MSRF, which is continuous and ongoing, gives undue and unreasonable preference and advantage to shippers other than MSRF and imposes an undue and unreasonable prejudice and disadvantage to MSRF with respect to the ports identified in each respective service contract, in violation of 46 U.S.C. Section 41104(a)(9).

COUNT V: VIOLATION OF 46 U.S.C. § 41104(a)(10)

54. Complainant repeats and realleges each and every allegation above as if fully set forth herein.
55. The foregoing conduct by Respondent in the course of negotiating its service contract with MSRF and providing service to MSRF pursuant to that service contract, which is continuous and ongoing, constitutes unreasonable refusal to deal or negotiate with MSRF, in violation of 46 U.S.C. Section 41104(a)(10).

VII. CAUSATION

56. The foregoing alleged illegal acts of Respondent have directly and proximately injured MSRF by forcing MSRF to make alternate transportation arrangements for cargo that was supposed to be shipped by Respondent pursuant to the terms of their respective Service Contracts at substantially higher spot market prices or forgo shipping such cargo altogether.

VIII. COMPLAINANT'S DAMAGES

57. MSRF has been, and continues to be, actually and materially injured by each Respondent's continuous conduct in violation of the Shipping Act alleged herein.
58. Respondent's violations alleged herein are causing direct, proximate, and ongoing financial damages to MSRF in an amount already believed to exceed \$1,000,000, currently accruing, and to be further demonstrated in this proceeding.

IX. PRAYER FOR RELIEF

WHEREFORE, MSRF respectfully requests that the FMC require Respondent to answer the charges made in this Verified Complaint and prays for relief from the FMC as follows:

1. An investigation by the FMC of the allegations in this Verified Complaint pursuant to 46 U.S.C. Section 41301(c);
2. An Order, after due investigation pursuant to 46 U.S.C. Sections 41302 and 41303 and a hearing pursuant to 46 U.S.C. Section 41304, finding that Respondent has violated 46 U.S.C. Section 41102(c) in connection with its respective receipt, handling, storage, and delivery of the property of MSRF, that Respondent has violated 46 U.S.C. Sections 41104(a)(2), 41104(a)(5), and 41104(a)(9) in connection with its respective service contracts with MSRF, and that Respondent has violated 46 U.S.C. Section 41104(a)(10) by unreasonably refusing to deal or negotiate with MSRF;

3. An Order requiring Respondent to pay MSRF reparations for the unlawful conduct alleged herein in an amount to be proven pursuant to 46 U.S.C. Section 41305, with interest pursuant to 46 U.S.C. Section 41305(a), MSRF's reasonable attorneys' fees as "the prevailing party" pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and
4. Such other and further orders or relief as the FMC deems just and proper.

X. REQUEST FOR ORAL HEARING

Complainant requests an oral hearing in Washington, DC.

Respectfully submitted,

CLARK HILL PLC

/s/ R. Kevin Williams

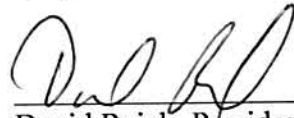
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August 11, 2022

VERIFICATION

I, David Reich, hereby verify as follows:

1. I am President of Complainant MSRF, Inc.
2. I am authorized to make this verification on behalf of Complainant MSRF, Inc.
3. I hereby verify that the facts contained in the foregoing Verified Complaint are true and correct to the best of my knowledge, information and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

A handwritten signature in black ink, appearing to read 'David Reich', is written over a horizontal line.

David Reich, President
MSRF, Inc.

August 4, 2022